



Exemption from Consumer Prescription Co-payment Procedure

1. Scope

Site	Operational Area	Applicable to
Armada Kalamunda Group	Mental Health	Medical, Nursing, Allied Health and Pharmacy

2. Purpose

To provide clinicians in the Mental Health teams with a procedure that defines the requirements for granting financial exemptions for prescription psychotropic and non-psychotropic medications for voluntary and involuntary consumers in a mental health setting.

3. Procedure

This procedure is for the financial exemption for prescription of medications in the Mental Health setting.

3.1 Prescribing and Charging of Medications

The [WA Health Patient Fees and Charges Manual](#) (updated each financial year) outline the charges that may be applied by the Health Service for the provision of healthcare and related goods or services, such as pharmaceuticals.

Medical prescribers working in Mental Health should consider various factors when prescribing psychotropic medication including, but not limited to, the consumer's clinical needs, relevant history, evidence-based best practice, items available on Formulary 1, PBS subsidised medications and the most cost-effective treatment options.

On occasion, medical prescribers working in Mental Health may need to prescribe non-psychotropic medications for consumers in the short term. Ideally these medications should be prescribed by the consumer's General Practitioner (GP) who is best placed to monitor their efficacy and side effects. Non-Psychotropic medication prescriptions generated by Armada Mental Health prescribers should be a once off in extenuating circumstances only. Where these are to be dispensed by the Health Service, it must be clearly communicated to Pharmacy that is a one-off dispensing for that occasion.

3.2 Community Treatment Order (involuntary treatment)

Psychotropic Medication

For all patients under a Community Treatment Order, the prescriber will provide the exemption form (Appendix 1) to the AHS pharmacy indicating exemption from payment of co-payment for all psychotropic medication prescribed by the Community Mental Health Service.

The medical prescriber will initiate the financial exemption form and the request for this exemption must be supported by the prescribing doctor, the consumer's care coordinator, and team leader if community consumer (all of whom are required to sign the financial exemption form). For the inpatients, the exemption must be supported by the prescribing doctor, social worker, and Nurse Unit Manager. A financial exemption expiry date must be specified on the form, as well as the reasons for requiring an exemption. After completion, the form should be sent via email directly to the AHS Pharmacy for filing and uploaded onto the digital medical record. Financial exemptions are no longer valid once the exemption form has expired (unless a new completed form is forwarded to the AHS Pharmacy before this occurs).

3.3 Voluntary Treatment

Where the prescribing doctor, (inpatient/community, Social Worker (in patient only) or care coordinator (community only) believe that the consumer is experiencing financial hardship such that their inability to pay is likely to lead to their inability to access prescribed treatment, the prescriber will complete the financial exemption form for psychotropic medication.

When assessing consumers for a financial exemption the prescriber must consider the following:

- Non-compliance due to lack of funds, this is to be confirmed by the care coordinator in community setting or social work in the inpatient setting and documented in the digital medical record
- There is evidence of non-compliance related to payment issues
- Evidence of financial hardship. Care coordinator/Inpatient Social worker will conduct financial assessment with consumer to include weekly liabilities/commitments and expenditure. This is to be reviewed three monthly to monitor any change in financial situation. Once a financial exemption is granted this will be valid for a maximum period of 3 months. If the consumer's financial situation changes during this period and they can afford to pay for their medications, the financial exemption is to be cancelled as soon as possible and AKG Pharmacy to be informed. The financial assessment is documented in the digital medical record

3.4 Non-psychotropic medications for voluntary, involuntary patients

Where the consumer's treating team deems it is necessary for the consumer to have a financial exemption for non-psychotropic medications (even if used to manage side effects or complications of psychotropic medications), a completed financial exemption form must be forwarded to the Team Leader or Nurse Unit Manager for consideration. Financial exemptions of this type apply only to the prescription for that exemption application; an ongoing exemption must be reviewed and approved by the above personnel at each consumer review Refer to 3.1.

Consumers who have reached the PBS safety net will be charged a lower or no co-payment (depending on whether general or concession) for all PBS subsidised medications for the remainder of that calendar year.

3.5 Consumers Prescribed Clozapine

Consumers may not be required to pay a co-payment for clozapine prescriptions in certain circumstances. The Fees and charges manual (FCM) is updated frequently and reference should be made to the latest FCM for current guidance.

4. Roles and responsibilities

Role	Responsibility
Pharmacy	Consumers will be charged medication co-payments unless a valid, approved financial exemption is in place at the time of dispensing.
Care Coordinator	To review consumers financial situation to confirm financial hardship and ongoing three-monthly reviews.
Prescribing Doctor	To initiate financial exemption form and review three monthly in patient's clinical review.
Team Leader/Nurse Unit Manager	Provides approval of the exemption on review of the financial assessment and/or other clinical documentation.

5. Legislative context

The following documents are required to give effect to this procedure:

The following documents are relevant to this procedure.

- *Medicines and Poisons Act 2014*
- *Mental Health Act 2014*
- Health Department of Western Australia (HDWA) [State-wide Medicines Formulary Policy MP 0077/18](#)
- HDWA [WA Health Patient Fees and Charges Manual 2023/24](#)
- HDWA [MBS Billed Non-Admitted Service Manual](#)

6. Supporting information

The following documents support the implementation of this procedure:

- AKG [Medication Policy \(AKG-POL-0253-13\)](#)
- AKG [Medication Management \(AKG-PRO-0255-18\)](#)

7. Compliance, monitoring and evaluation

The Community Teams will maintain a list of all exemptions. The Team Leader (Community) Nurse Unit Manager (in-patient) will monitor and conduct quarterly audit for policy document compliance.

8. Relevant standards

National Safety and Quality Health Service (NSQHS) Standards (second edition):

- Standard 4 - Medication Safety

9. Supporting documents

- [WA Health Patient Fees and Charges Manual 2023/24](#)

- Royal Perth Bentley Group. [Medication Charging and Supply Standard Operating Procedure \(SOP\)](#)

10. Glossary

The following definitions are relevant to this policy.

Term	Definition
PBS	Pharmaceutical Benefit Scheme.
Co-payment	A set contribution charge for each prescribed medication determined by the Commonwealth or WA State Government
Hospital Pharmacy	The Pharmacy based at Armadale Hospital.
Financial exemption form	Refer to Appendix A; <i>Application for Exemption of Pharmacy Co- payment</i>

11. Policy owner (relating to these procedures)

Program Manager

Enquiries relating to this procedure may be directed to:

Title: Program Manager
 Department: Community Mental Health
 Email: Shannon.stuart@health.wa.gov.au

12. Review

This procedure will be reviewed and evaluated as required to ensure relevance and currency. At a minimum it will be reviewed within one (1) year after first issue and at least every three (3) years thereafter.

Version	Effective from	Effective to	Amendment(s)
V2	03/10/2024	03/10/2027	Scheduled review

13. Authorisation

This procedure has been authorised and issued by the Service Director Mental Health.

Authorised by	Shannon Stuart – A/Service Director Mental Health
Authorisation date	03/10/2024
Published date	03/10/2024

Appendix 1: Application for exemption of pharmacy co-payment

ARMADALE KALAMUNDA GROUP APPLICATION FOR EXEMPTION OF PHARMACY CO-PAYMENT Mental Health	Family Name:	UMRN:
	Given Name:	
	Gender:	DOB:

Exemptions of pharmacy co-payments apply only to psychotropic medications (e.g. antidepressants, antipsychotics, mood stabilisers). For all other medications, approval is required from the AKG Program Manager, Community Mental Health.

DIAGNOSIS

REASON FOR EXEMPTION

☐ Community Treatment Order

☐ Financial hardship, specify circumstances _____

EXEMPTION DURATION (NOTE MAXIMUM DURATION IS THREE MONTHS)

☐ Less than 3 months, specify duration _____ Next review date: _____

☐ Maximum duration. Next review date: _____

PATIENT INVOLVEMENT

Has the patient been informed of the exemption arrangement and advised that they will be charged co-payments once the exemption expires? ☐ Yes ☐ No

APPLICATION BY CARE COORDINATOR/INPATIENT SOCIAL WORKER	Name:
	Signature:
	Date:

AUTHORISATION BY PRESCRIBING DOCTOR	Name:
	Signature:
	Date:

APPROVAL TEAM LEADER (COMMUNITY) NURSE UNIT MANAGER (INPATIENT)	Name:
	Signature:
	Date:

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IS THIS APPLICATION FOR NON-PSYCHOTROPIC MEDICATION?		Yes	No
If exemption is for non-psychotropic medication, Team Leader Community Program /Nurse Unit Manager Inpatient Program approval required.			
Name:	Signature:	Designation:	Date: